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SOCIETE GENERALE GROUP

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U.S. Medical Devices

Johnson & Johnson

Rating

Market-Perform

Price Target

JNJ **270.00 USD** (261.00 *OLD*)

Johnson & Johnson 3Q26: Bullish outlook; but FY27 EPS reset

Yesterday before the open, JNJ reported a solid Q3, with 6.1% organic sales growth and a 3% EPS beat. Innovative Medicine strength and U.S. momentum offset a ~1.5% MedTech miss driven by international headwinds and Abiomed weakness. Management nudged up FY26 guidance and remains confident in double-digit sales growth by the end of the decade, though FY27 EPS growth could be flattish due to (1) a tough comp (extra week in FY26), (2) substantial LOE headwinds, and (3) a step-up in Firefly/Sail dilution.

Solid Q3. Sales were in line at 6.1% organic growth, while EPS of $2.59 beat by 3%. JNJ nudged FY26 sales guidance up by 10bps (to 6.4%-6.8% organic) and raised FY26 EPS guidance by 0.6% at the midpoint to $11.05-$11.15 (2.4%-3.3% growth). JNJ remains confident in acceleration to double-digit sales growth by the end of the decade.

Innovative Medicine was strong, growing 8.0% organic to $16.8bn (1% beat) despite a STELARA headwind of 690bps. TREMFYA grew 68% (8.5% beat), ICOTYDE saw strong initial uptake, Oncology grew 16.7% and Neuroscience grew 17.6%. **MedTech remained weak,** growing 2.5% to $8.6bn, a 1.4% miss driven by Abiomed weakness and OUS pressure from Surgery headwinds and APAC EP competition.

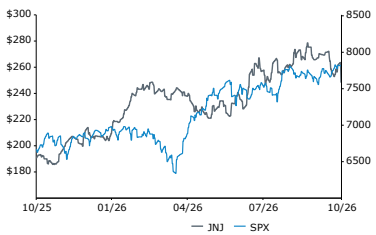
2027 outlook. Despite ~$4.5bn of LOE headwinds, JNJ expects underlying operational growth to improve modestly in FY27, though the 53rd week in FY26 creates a tougher comparison. We model 5.1% organic growth in FY27 (pre-results consensus 7.1% reported growth). Firefly/Sail dilution steps up by $0.72/share, creating a ~6.5% EPS growth headwind; we model ~2% EPS growth in FY27 to $11.29, 8.5% below prior consensus ($12.34), despite some underlying margin expansion.

Close Date	13 Oct 2026
JNJ Close Price (USD)	248.61
Price Target (USD)	270.00
Upside/(Downside)	9%
52-Week Range	281.07/184.66
SPX	7,805.45
FYE	Dec
Div Yield	2.2%
Market Cap (USD) (M)	599,125
EV (USD) (M)	627,403

Performance	YTD	1M	6M	12M
Absolute (%)	20.1	(6.4)	4.5	30.2
SPX (%)	14.0	1.9	13.3	17.3
Relative (%)	6.1	(8.3)	(8.9)	12.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate JNJ Market-Perform with a price target of $270 (up from $261) using a target PE multiple of 21x (unchanged) against our forward Q5-Q8 EPS estimate of $12.93 (up from $12.48). For more color, see our 2Q26 recap and takeaways from SDC. Model: JNJ.

Adjusted EPS	F25A	F26E	F27E
JNJ (USD)	10.75	**11.09**	**11.29**
OLD	--	11.01	11.46

Financials	F25A	F26E	F27E	CAGR
Operating Earnings (M)	30,451	32,142	34,001	5.7%
Net Earnings (M)	26,034	27,565	29,281	6.1%
Adj. Operating Margin (%)	32.5	32.7	33.3	--
ROIC (%)	20.5	19.8	19.5	--
Organic Sales Growth (%)	3.5	4.5	3.9	--
Revenues (M)	94,193	101,169	106,298	6.2%

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	23.1	22.4	22.0
PEG Adjusted (x)	3.0	7.1	12.1
EV/EBITDA (x)	19.0	18.1	17.2
Div Yield (%)	2.1	2.1	2.2
EV/FCF (x)	129.0	217.3	224.9
EV/Sales (x)	6.7	6.2	5.9

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

JNJ delivered a solid Q3, with 6.1% organic sales growth and a 3% EPS beat. Strong Innovative Medicine performance and U.S. momentum offset a ~1.5% MedTech miss driven largely by international headwinds and continued Abiomed weakness. Management modestly raised FY26 guidance and remains confident in accelerating underlying sales growth toward double digits by decade-end, though FY27 EPS growth could be flattish due to (1) a tough comp (extra week in FY26), (2) a substantial LOE headwind in FY27, and (3) a step-up in Firefly/Sail dilution.

Solid quarter with in-line sales and a 3% EPS beat

Sales grew 6.1% organic to $25.4bn despite a STELARA headwind of 420bps at the enterprise level.[1] Enterprise growth was very strong in the U.S. at 9.1% organic, driven by strong launch momentum in Innovative Medicine and sequential improvement in MedTech growth (4.8% organic vs. 3.9% last quarter). Q3 growth was 1.9% organic outside the U.S., driven by several OUS MedTech headwinds (e.g., China VBP, Asia-Pac EP competition, Middle East disruption) and less benefit from new launches in Innovative Medicine. Acquisitions and divestitures had a net negative impact on WW growth of 10bps.

Pharma beat / MedTech miss. Innovative Medicine sales grew 8% organic to $16.8bn and beat consensus by 1%. MedTech sales grew 2.5% organic to $8.6bn and missed consensus by 1.4%.

Adj EPS fell 7.5% to $2.59, 3% above consensus ($2.52), reflecting the acquisition of Firefly Bio, Inc. and the strategic collaboration with Sail Biomedicines. COGS deleveraged by 150bps, driven by unfavorable product sales mix and increased intangible asset amortization expense in the Innovative Medicine business for Intra-Cellular Therapies, partially offset by tariff recovery in the MedTech business. SG&A as a percentage of sales was flat, with the ratio at roughly 24.6%, reflecting consistent commercial investments in the Innovative Medicine business. R&D was 18.3% of sales or $4.6bn, including $1bn of expenses related to the acquisition of Firefly Bio. IPR&D impairment costs of $339mn in the quarter are related to the write-off of PreCARDIA, a non-core asset JNJ acquired as part of the Abiomed transaction. Other income and expense was a net expense of $5.8bn (vs $478mn prior year), driven by the proposed talc litigation resolution and Orthopaedic separation related costs.

Looking at adj income before tax by segment for the quarter, Innovative Medicine margin declined from 44.3% to 35.4%, primarily due to acquired IPR&D expense of approximately $1bn related to the acquisition of Firefly Bio, transaction costs for Sail Biomedicines, and unfavorable product sales mix and cost of products sold. MedTech margin increased from 21% to 22.9%, driven by the impact of tariff recoveries, partially offset by increased strategic investments in commercial capabilities. Overall, adj income before tax for the enterprise as a percentage of sales decreased from 35.2% to 30.2%.

EXHIBIT 1: **JNJ nudged FY26 sales guidance up by 0.1% at the midpoint and raised FY26 EPS guidance by 0.6% at the midpoint**

Johnson & Johnson (JNJ) Guide as of: For Period:	1/21/2026 FY26	4/14/2026 FY26	7/15/2026 FY26	7/29/2026 FY26	10/13/2026 FY26	Pre-Event Consensus FY26	Pre-Event BERNe FY26	Bernstein Forecast FY26
Adj Operational Sales ($bn)								
Δ vs PY (Organic Growth)	5.4% - 6.4%	5.6% - 6.6%	6.2% - 6.8%	6.2% - 6.8%	6.4% - 6.8%		6.4%	6.7%
M&A (%)	*0.3%*	*0.3%*	*0.3%*	*0.3%*	*0.3%*		*0.2%*	*0.2%*
M&A ($bn)	*$0.3*	*$0.3*	*$0.3*	*$0.3*	*$0.3*		*$0.2*	*$0.2*
Operational Sales ($bn)	**$99.5 - $100.5**	**$99.7 - $100.7**	**$100.3 - $100.9**	**$100.3 - $100.9**	**$100.5 - $100.9**		**$100.5**	**$100.7**
Δ vs PY (CC Growth)	5.7% - 6.7%	5.9% - 6.9%	6.5% - 7.1%	6.5% - 7.1%	6.7% - 7.1%		6.7%	6.9%
FX (%)	*0.5%*	*0.6%*	*0.5%*	*0.5%*	*0.5%*		*0.5%*	*0.5%*
FX ($bn)	*$0.5*	*$0.6*	*$0.5*	*$0.5*	*$0.5*		*$0.5*	*$0.5*
Reported Sales ($bn)	**$100.0 - $101.0**	**$100.3 - $101.3**	**$100.8 - $101.4**	**$100.8 - $101.4**	**$101.0 - $101.4**	**$101.2**	**$101.0**	**$101.2**
Δ vs PY (Reported Growth)	6.2% - 7.2%	6.5% - 7.5%	7.0% - 7.6%	7.0% - 7.6%	7.2% - 7.6%		7.2%	7.4%
Net Interest Expense (Income) ($mn)	$300 - $400	$300 - $400	$250 - $300	$250 - $300	$150 - $200	$340	$262	$176
Net Other Income ($bn)	$1.0 - $1.2	$1.0 - $1.2	$1.0 - $1.2	$1.0 - $1.2	$0.8 - $1.0	$0.98	$1.17	$0.90
Adjusted Pre-Tax OP Margin	*~32.7% (up 50bps)*	*~32.7% (up 50bps)*	*~32.95% (up 75bps)*	*~31.5% (down 75bps)*	*~31.6% (down 60bps)*	32.6%	31.1%	31.6%
Effective Tax Rate	17.5% - 18.5%	17.5% - 18.5%	17.0% - 18.0%	17.0% - 18.0%	17.0% - 17.5%	17.4%	17.0%	17.2%
Adj Operational EPS (CC)	**$11.28 - $11.48**	**$11.30 - $11.50**	**$11.50 - $11.65**	**$10.86 - $11.01**	**$10.95 - $11.05**		**$10.91**	**$10.99**
Δ vs PY	4.5% - 6.5%	4.7% - 6.7%	6.6% - 8.0%	0.7% - 2.1%	1.5% - 2.4%		1.5%	2.2%
FX (cents)	*$0.15*	*$0.15*	*$0.10*	*$0.10*			*$0.10*	*$0.10*
Adj EPS	**$11.43 - $11.63**	**$11.45 - $11.65**	**$11.60 - $11.75**	**$10.96 - $11.11**	**$11.05 - $11.15**	**$11.08**	**$11.01**	**$11.09**
Δ vs PY	5.9% - 7.9%	6.1% - 8.1%	7.5% - 8.9%	1.6% - 3.0%	2.4% - 3.3%		2.4%	3.1%

Source: Company reports; Bloomberg; Bernstein estimates & analysis

[1] Note that declining Stelara sales (down $854mn for a 54% year-over-year decline) were offset by very strong Tremfya growth (up 973mn for 68% year-over-year growth).

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FY26 sales, EPS guidance raised slightly

Management raised FY26 adj operational sales growth guidance by 10bps at the midpoint to 6.4%-6.8% (vs prior 6.2%-6.8%) and raised FY26 adj EPS guidance by 0.6% at the midpoint to $11.05-$11.15 (vs prior $10.96-$11.11).

P&L considerations. In 2026, JNJ benefits from a 53rd week in the financial calendar worth ~100bps to full year sales growth and roughly 400bps to 4Q26 sales growth (53rd week impacts Q426). The FY26 IPR&D dilution expected from the Firefly Bio and Sail Biomedicines transactions is $0.64.

Preliminary color on 2027. Management shared some preliminary thoughts on FY27 on the earnings call and in our follow-up discussion with the team. Despite a fairly significant headwind of $4bn to $4.5bn in 2027 from loss of exclusivity (Xarelto ~ $2bn, PAH ~$1.5bn, SIMPONI/STELARA ~$1bn), JNJ expects underlying operational growth will improve modestly from FY26 to FY27. Management cautioned that models do need to adjust that operational growth to account for the extra week in FY26. JNJ is guiding to 6.6% adjusted operational growth for FY26, and while the company believes the underlying trend may improve somewhat in FY27, we are modeling 5.1% adjusted operational growth for FY27, well below pre-results consensus (7.1% reported growth in FY27).

2027 EPS considerations. Management reminded us that expected dilution from the Firefly/Sail deals steps up from $0.64/share in FY26 to $1.36/share in FY27. This additional $0.72/share represents a 6.5% headwind to EPS growth in FY27. We came away from our follow-up call thinking EPS growth in FY27 would be flattish to slightly positive. Management did note on the earnings call that after stripping out the Firefly/Sail dilution, EPS should grow a bit faster than revenue—in other words, JNJ will aim to deliver some operating margin expansion. We model FY27 EPS growth of slightly less than 2% to $11.29, about 8.5% below pre-results consensus ($12.34). Note that while JNJ has detailed near-term EPS dilution from Firefly/Sail, the team has not yet quantified expected returns from these deals—we expect to hear more about this at the company's December 8 investor day.

Double-digit growth by the end of the decade. JNJ affirmed that they are on track to meet their 2026 target of more than $100bn annual revenue for the first time, and management remains confident that progress will continue into 2027 with line of sight to double-digit revenue growth by the end of the decade.

EBR December 8. JNJ highlighted the Enterprise Business Review, which is scheduled for December 8, where management plans to communicate the outlook for 2027 along with additional perspective on the drivers that give JNJ confidence in achieving double-digit sales growth by the end of the decade.

Innovative Medicine continues to thrive; 1% beat despite STELARA headwinds

Innovative Medicine grew 8% organic with divestitures negatively impacting growth by 0.1%. Sales of $16.8bn beat consensus by 1% despite the 690bps headwind from STELARA. Across sub-segments, growth was supported by Immunology (1.4% growth to $4.2bn, an 8.5% beat), Oncology (16.7% growth to $7.6bn, a 1.6% miss), and Neuroscience (17.6% growth to $2.4bn, a 2.0% beat). On the other hand, JNJ saw declining sales in Pulmonary Hypertension (declined 19.2% to $897mn, a 5.7% miss), Infectious Diseases (declined 1.1% to $813mn, a 1.0% beat), and Cardio/Metabolism/Other (declined 5.5% to $849mn, a 2.1% miss).

More specifically, strength was driven by growth in TREMFYA (68% growth, 8.5% beat), ICOTYDE (not disclosed), INLEXZO (not disclosed), SPRAVATO (36% growth, 0.6% beat), CAPLYTA (66% growth, 4.7% beat). RYBREVANT + LAZCLUZE and DARZALEX also showed strong growth (64% and 15.6%, respectively), but fell short of elevated expectations (1.4% and 1.6% miss, respectively).

TREMFYA maintains strong growth momentum. In Q3, TREMFYA grew 68.2% YoY to $2.4bn, beating consensus by 8.5% and marking the fourth consecutive quarter with growth in the 60%+ range. TREMFYA is continuing its momentum across its indications and is now the *"number one IL-23 inhibitor in new-to-brand share in Crohn's disease alternative colitis and psoriatic arthritis"* in the U.S. JNJ attributed the strong growth to momentum from the IBD launch, with 4 points of share growth in both UC and Crohn's disease, alongside continued market growth. Management remains tremendously confident in TREMFYA and described it as a foundational medicine that can grow into a $10bn+ franchise.

ICOTYDE continues to be one of JNJ's most exciting growth drivers, with launch performance remaining robust in Q3. Management highlighted that uptake is tracking ahead of nearly all launches in psoriatic disease, with more than 20,000

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patients initiating therapy through nearly 9,000 prescribers since its U.S. launch. While JNJ has not yet disclosed ICOTYDE sales, management expects to do so next year. Commercial access is also improving, with ICOTYDE now having broad coverage and preferred access across all national commercial plans, alongside ongoing efforts to expand access to Medicare patients.

Beyond the strong initial uptake, management sees further runway for ICOTYDE to expand the systemic psoriasis treatment market, with roughly 60% of the patients initiating on ICOTYDE being new to systemic therapy, 20% switching from other orals, and 20% from other treatments. JNJ also sees potential for similarly strong launches in ulcerative colitis (UC) and Crohn's disease, although future commercialization will depend on clinical data and regulatory approval.

> *"So we know the space very well. With that said, I will say* ***there's still significant unmet need in a large amount of patients that are untreated or not treated earlier in the course of their diseases. And we do see that to be a great opportunity for not only market expansion, as we're seeing in psoriatic disease or psoriasis with ICOTYDE, but the profile of the product fits beautifully in that spot****, I would say. Obviously, the data will depend on how we look at it in the positioning once it becomes on the marketplace. But I will tell you, we will have early access as one of the other keys and we'll see rapid uptake once we get the data results."*

Management believes ICOTYDE's combination of efficacy, safety, and oral convenience could support further market expansion, including in IBD, where many patients are not receiving advanced therapy. Management views their Phase 2 results in UC as encouraging that ICOTYDE can compete with existing monotherapies.

> *"I think* ***the reason we've had such a great start in psoriasis is because of that trifecta biologics-like efficacy coupled with placebo-like safety combined with the convenience of a once-a-day pill and we think that'll play very well across all indications, including IBD, whereas Tom referenced still a large percentage of patients are not on an advanced therapy.*** *The data in our Phase 2 study were quite encouraging and look like ICOTYDE can deliver on par with the current monotherapies.*

Looking ahead, upcoming data could help support ICOTYDE's expansion beyond psoriasis. JNJ expects to present psoriatic arthritis data later this year, and to release results from ASCEND (the head-to-head study versus Stelara) in the coming months. Management also plans to discuss the broader IBD opportunity, including potential expansion into UC and Crohn's disease, at its December 8 Enterprise Business Review.

> *"So I would say we're fairly very excited about the launch to date, as equally as excited about the future. And we do foresee this to be one of our largest assets, as I pointed out.* ***We're excited about the upcoming data readouts, both with the PsA and Phase 3 data, as well as the head-to-head STELARA data for ASCEND that we should be releasing in the coming months.*** *And as we look to expand beyond that, and we'll get into more of this at the EBR and IBD and expansions into UC and CD, expecting similar results with regards to launch performance as we go into those other indications."*

Physician and patient enthusiasm for an oral option also remains high. Management noted Phase 3 IBD studies are, like seen in prior psoriasis and psoriatic arthritis studies, enrolling at a very fast pace (around one-third of the usual time). Taken together, the strong launch and potential for additional indications form the foundation of JNJ's view that ICOTYDE could become one of its largest assets in Innovative Medicine.

INLEXZO still strong 1-year post-launch. INLEXZO's launch momentum remained strong, with Q3 sales coming in *"north of $90 million"* (~$200 million net trade sales YTD), and new patient inserts up 45% sequentially. Within the roughly 4,000-patient population with high-risk non-muscle-invasive bladder cancer with carcinoma in situ, management noted that nearly one in three eligible patients started Inlexzo in Q3. JNJ sees significant expansion potential in broader bladder-cancer populations, supporting a $5bn+ opportunity for the platform. The company expects additional data this year and a potential label expansion into papillary disease.

> *"And I wanted to point out that this is* ***in a population in non-muscle-invasive bladder cancer high-risk with carcinoma in situ****. It represents* ***roughly 4,000 patients in totality****, so relatively small in nature. And* ***we're still seeing one in three patients being put on an INLEXZO in this patient population.*** *We touched on SunRISe-5, which is a broader patient population, roughly 15,000 patients, and what we call SunRISe-3, which is the BCG-naive population, roughly 50,000. This is where* ***we absolutely see a greater opportunity for us to live into the number of $5 billion-plus for the platform****, and I do believe we will do just that and above that, given the unmet medical need, the simplicity of INLEXZO delivers, high response, high, durable, complete remission rates that we are delivering with INLEXZO as we look*

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to expand in the population."

RYBREVANT FASPRO approval in advanced head/neck cancer by year-end. RYBREVANT + LAZCLUZE sales grew 63.5% in Q3 to $320mn, driven by first- and second-line share gains, continued global launch uptake, and the rapid adoption of RYBREVANT FASPRO. Looking ahead, JNJ expects U.S. approval of RYBREVANT FASPRO in advanced head-and-neck cancer by year-end, providing an additional growth opportunity beyond lung cancer.

Neuroscience growth remained robust, with SPRAVATO sales growing 36% to $625mn on continued share gains, strong physician adoption, and increased demand in treatment-resistant depression. CAPLYTA sales grew 66.1% to $398mn (reaching $1bn in sales YTD), driven by its adjunctive major depressive disorder launch and rising demand in bipolar disorder and schizophrenia. JNJ presented their pivotal Phase 3 data last month, and CAPLYTA is now the *"fastest growing oral branded therapy"* in its space.

Weak MedTech sales missed by 1.4%, dampened by one-timers

MedTech sales grew 2.5% to $8.6bn, missing both JNJ's internal expectations and consensus by 1.4%. Weakness was driven by OUS MedTech (0.1% organic growth, 3% miss), including weakness in OUS Surgery (4.8% miss) and OUS Cardiovascular (5.7% miss). In particular, OUS Cardiovascular was dampened most by Electrophysiology (1.3% miss) and Abiomed (17.3% miss). In the U.S., MedTech growth of 4.8% was roughly in-line with consensus, as healthy performance in U.S. Orthopaedics (0.8% beat), Surgery (0.4% beat), and Vision Care (1.0% beat) was offset by weakness in U.S. Cardiovascular (1.3% miss), with misses in Abiomed (4.2% miss) and Shockwave (3% miss) but balanced by strength in Electrophysiology (in line).

Management acknowledged MedTech performance was below their expectations and affirmed their commitment to stronger Q4 results. JNJ noted that weakness was concentrated outside of the U.S. and primarily driven by (1) continued global Abiomed weakness, (2) in Surgery, extended impact of JNJ's transformation program, volume-based procurement (VBP) in China, and pressure from the Middle East conflict, and (3) EP competitive intensity in Asia Pacific.

> *"...to be clear, **our performance is below the standard we have set internally** and below the expectations we previously communicated to investors. Simply put, we can do better and we absolutely will. And right now, we are **focused solely on the actions needed to deliver stronger results in the fourth quarter** and beyond. [...] **pressure was primarily concentrated** actually in two very distinct areas. Firstly, our **performance outside of the U.S. and secondly, Abiomed globally**, which we already touched on. And to put it in perspective, growth in the U.S. — which as you know, is the most important market — was in fact robust in the quarter and accelerated to almost 5%. Our performance outside of the U.S. was a challenge, and that reflected a combination of mostly known headwinds, which we have discussed previously. For example, **in surgery, the expected impact of the transformation program and the ongoing expansion of volume based procurement in China, and an electrophysiology competitive intensity, especially in Asia-Pacific**, which is a region that, is still relatively early in the adoption of Pulsed Field Ablation. We did introduce a **new headwind, which is really the incremental pressure that we're seeing on the business due to the conflict in the Middle East**."*

Underlying procedure environment stable. On our follow-up, management confirmed robust procedure volumes in the U.S. and no issues OUS. Leadership also confirmed that they see "*no cause for concern*" around hospital capacity.

Abiomed sales continue weakness on CHIP-BCIS3 (see recap), as global physician selectivity continue to drive lower patient volumes. Global sales of $412mn declined 1.5% organic (4.2% miss), continuing a trend of decline of 2% YoY (13.7% miss) in 2Q26. International Abiomed sales growth was especially weak (-6.5% organic, -17.3% miss), compared to relatively better but still soft U.S. sales growth (-0.3% organic, 0.3% miss). Management views this quarter's weakness as the result of a short-term headwind, and remains optimistic that the Abiomed business will recover "*in short order,*" highlighting that they have already seen some sequential improvement within the quarter. Leadership continued to emphasize that (1) they are actively engaging with physicians and their teams to reinforce appropriate patient selection, and that (2) results from PROTECT IV are expected to read out in 2027 and should bolster the Impella case. PROTECT IV (see trial) is a multicenter, ~1,300-patient trial that assesses whether using the Impella CP or Impella 2.5 device during high-risk PCI in patients with reduced left-sided heart function will result in an improvement in symptoms, heart function and health after a heart procedure compared to the current standard of care.

> *"Abiomed remained in a temporary headwind, as you saw in Q3. But our conviction in the long-term opportunity has not changed at all. **The slowdown we're seeing continues to be the same issue we highlighted in the quarter***

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> ***before, which is this study outside of the US focused on high-risk PCI****, and importantly, we* ***do not view these challenges as structural in nature*** *and ones that will drive a long-term impact on the business. We're not seeing any changes in the patient need, nor to reimbursement access, or any meaningful competitive pressures. We also have highlighted some questions we have around the study as to whether best practices were used in the study, and so our focus today is really on education and advancing the clinical evidence base to show the incredible impact that Impella has in both saving and improving lives. And* ***so we believe it's a short-term headwind****. We've already touched on* ***the study in HR PCI [CHIP-BCIS3], a study where we actually believe that the methodology employed did not follow well-established practices, an issue which we're addressing through education****. We think we're going to get through that because the evidence base is so solid, especially in areas like [acute myocardial infarction] AMI cardiogenic shock. And we're* ***still seeing tremendous performance of 5.5****. We did, by the way,* ***already see some improvement sequentially throughout the quarter.*** *And we do* ***believe that that business will be back to growth in short order.****"*

Electrophysiology grew 4.4% organic to $1.5bn (1% miss), driven by procedure growth, commercial execution, and new product performance (VARIPULSE, TRUPULSE, CRYSTAL, DUAL ENERGY STSF). Growth was offset by OUS pressures, including Asia-Pacific competitive dynamics in PFA and a one-time lapping of a prior year OUS stock build. As a result, OUS EP growth was weaker at 1.8% organic (1.3% miss), compared to stronger U.S. EP growth of 7.0% organic (in line with consensus). Still, management reaffirmed confidence in a stronger Q4, supported by double-digit growth in Europe following the VARIPULSE Pro launch and the expected contribution from Japan after receiving regulatory approval last week. Leadership also set expectations for VARIPULSE Pro to launch in the U.S. by the end of 2026.

Surgery performance was weak in the quarter, with organic sales declining 1% to $2.5bn (2.4% miss). Weakness was localized OUS, driven by (1) VBP in China, (2) impact of the surgery transformation program, and (3) disruptions in the Middle East. As a result, OUS Surgery sales declined 4.2% organic to $1.5bn (4.8% miss), compared to stronger U.S. growth of 3.7% organic to $1bn (0.4% beat). In our follow-up call, management characterized the 3 drivers of OUS Surgery weakness as one-timers, giving more context to each. For the (1) ongoing surgery transformation, management indicated that there was a step-up in impact this quarter that was expected to be similar next quarter, before beginning to lap the following quarter. For (2) China VBP, leadership noted that while impact in areas like Energy and Endocutters was consistent with history, management saw increased pressure from VBP expansion into new provinces, as well as in new areas previously unaffected by VBP, including Wound Closure and Biosurgery. With regard to (3) the Middle East conflict, management characterized the impact as a delay in sales rather than lost sales, citing shifts in ordering patterns, tender timing, and hospital spending decisions. The Middle East conflict was characterized as the smallest of the three headwinds, and leadership noted that Surgery growth would have remained roughly flat to slightly positive excluding this impact. JNJ emphasized that these 3 headwinds were temporary, reaffirming their confidence in continued growth in the U.S., an acceleration in EMEA, and a return to growth in Q4.

> *"Let me start with the Middle East, and clearly we've highlighted that as a new risk that has broadened over time. And really, the effect is no longer limited to a handful of markets, as we initially thought.* ***We've seen increased disruption to ordering patterns, tender timing and hospital spending decisions across a wider group of countries****, unfortunately, and* ***we've also seen governments and health care systems become more cautious in their spending priorities****, with some funding and procurement decisions taking longer than what we normally would expect. That has* ***created a more meaningful impact on purchasing behavior*** *than we saw earlier in the year. That said, I think it's important that* ***we see this really as a short-term factor.*** *The underlying issues have not changed. The clinical need remains intact, and we'd expect many of these opportunities to be deferred rather than permanently lost. I think that's an important factor as it relates to any form of conflict. And certainly what we're seeing in the Middle East."*

OTTAVA received de novo FDA authorization in July, with approvals for general surgery procedures. JNJ is also in progress of an IDE for inguinal hernia repair and has future plans for indication expansion into urology and gynecology. Management is enthusiastic about OTTAVA's commercial rollout, and since its approval, have signed their first commercial customer and are progressing their development program.

Orthopaedics separation leaning towards a spin-off, with JNJ remaining on track for a mid-2027 separation. In our follow-up, management indicated that their decision is partly driven by the current medtech backdrop, as depressed sector valuations make it challenging to achieve a transaction reasonable to the company.

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 2: **Johnson & Johnson (JNJ) Financial Model**

Adjusted Income	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
MedTech	30,401	31,857	33,791	35,282	36,345	37,836	39,304	40,838	8,635	8,927	8,643	9,079	8,904	9,253	8,995	9,193
Pharma	54,758	56,965	60,605	65,887	69,953	76,685	83,830	92,497	15,426	16,384	16,757	17,319	16,393	17,467	17,911	18,183
Sales (adj)	**85,159**	**88,821**	**94,193**	**101,169**	**106,298**	**114,520**	**123,133**	**133,335**	**24,062**	**25,310**	**25,399**	**26,398**	**25,297**	**26,720**	**26,906**	**27,376**
COGS (adj)	21,411	22,468	25,457	27,521	28,704	30,692	32,752	35,264	6,824	6,759	6,854	7,084	7,124	7,082	7,207	7,292
Gross profit (adj)	**63,748**	**66,353**	**68,736**	**73,648**	**77,594**	**83,828**	**90,381**	**98,071**	**17,238**	**18,551**	**18,545**	**19,314**	**18,173**	**19,638**	**19,699**	**20,084**
SG&A (adj)	21,483	22,853	23,676	25,293	26,469	28,344	30,291	32,667	6,034	6,415	6,247	6,597	6,318	6,746	6,591	6,814
R&D (adj)	14,805	17,034	14,702	16,394	19,257	18,416	19,742	21,313	3,527	3,651	4,647	4,569	4,669	4,790	4,923	4,876
Operating income (adj)	**27,460**	**26,466**	**30,358**	**31,960**	**31,868**	**37,068**	**40,349**	**44,092**	**7,677**	**8,485**	**7,651**	**8,147**	**7,186**	**8,103**	**8,186**	**8,394**
Interest expense (adj)	-489	-577	-85	176	-40	-100	-100	-100	43	62	31	40	-10	-10	-10	-10
Other expense (income) (adj)	-1,862	-1,936	-1,238	-901	-1,000	-1,000	-1,000	-1,000	-187	-237	-52	-425	-250	-250	-250	-250
Earnings before taxes (adj)	**29,811**	**28,979**	**31,681**	**32,685**	**32,908**	**38,168**	**41,449**	**45,192**	**7,821**	**8,660**	**7,672**	**8,532**	**7,446**	**8,363**	**8,446**	**8,654**
Taxes (adj)	4,402	4,737	5,466	5,638	5,737	6,476	6,825	7,215	1,207	1,579	1,333	1,519	1,236	1,539	1,647	1,315
Net income (adj)	**25,409**	**24,242**	**26,215**	**27,047**	**27,171**	**31,692**	**34,624**	**37,977**	**6,614**	**7,081**	**6,339**	**7,013**	**6,210**	**6,824**	**6,799**	**7,339**
Diluted EPS (adj)	**$9.92**	**$9.98**	**$10.75**	**$11.09**	**$11.29**	**$13.32**	**$14.73**	**$16.35**	**$2.70**	**$2.90**	**$2.59**	**$2.89**	**$2.57**	**$2.83**	**$2.83**	**$3.06**
Avg Diluted Shares (M)	2,560.4	2,429.4	2,439.0	2,439.6	2,407.1	2,379.1	2,351.1	2,323.1	2,445.2	2,440.1	2,448.6	2,424.6	2,417.6	2,410.6	2,403.6	2,396.6
EBITDA	**34,946**	**33,805**	**37,861**	**39,533**	**39,478**	**44,048**	**47,130**	**50,981**	**9,681**	**10,444**	**9,440**	**9,968**	**9,218**	**10,060**	**9,973**	**10,226**

Growth Rates (YoY)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Organic																
MedTech	7.8%	4.7%	4.3%	3.9%	3.0%	4.1%	3.9%	3.9%	4.7%	3.7%	2.5%	4.9%	3.1%	3.7%	4.1%	1.3%
Pharma	4.9%	5.8%	4.1%	7.9%	6.2%	9.6%	9.3%	10.3%	5.6%	6.9%	8.0%	12.0%	6.3%	6.6%	6.9%	5.0%
Total	**5.9%**	**5.4%**	**4.2%**	**6.4%**	**5.1%**	**7.7%**	**7.5%**	**8.3%**	**5.3%**	**5.7%**	**6.1%**	**9.4%**	**5.1%**	**5.6%**	**5.9%**	**3.7%**
Currency	**-1.0%**	**-1.6%**	**0.7%**	**0.8%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**3.5%**	**0.9%**	**-0.1%**	**-2.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
M&A	**1.5%**	**0.5%**	**1.1%**	**0.2%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.1%**	**-0.1%**	**-0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
Reported Growth	**6.4%**	**4.3%**	**6.1%**	**7.4%**	**5.1%**	**7.7%**	**7.5%**	**8.3%**	**9.9%**	**6.6%**	**5.9%**	**7.5%**	**5.1%**	**5.6%**	**5.9%**	**3.7%**
EBITDA	5.8%	-3.3%	12.0%	4.4%	-0.1%	11.6%	7.0%	8.2%	-2.3%	5.0%	6.6%	12.6%	-2.3%	0.9%	8.2%	1.7%
Operating Income (adj)	5.3%	-3.6%	14.7%	5.3%	-0.3%	16.3%	8.9%	9.3%	-3.6%	3.9%	11.8%	19.0%	-6.1%	-0.5%	13.9%	3.6%
EPS (adj)	11.1%	0.6%	7.7%	3.1%	1.8%	18.0%	10.6%	11.0%	-2.3%	3.6%	5.1%	17.4%	-0.8%	-2.1%	10.1%	8.2%

Key ratios	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Gross margin	74.9%	74.7%	73.0%	72.8%	73.0%	73.2%	73.4%	73.6%	71.6%	73.3%	73.0%	73.2%	71.8%	73.5%	73.2%	73.4%
SG&A	25.2%	25.7%	25.1%	25.0%	24.9%	24.8%	24.6%	24.5%	25.1%	25.3%	24.6%	25.0%	25.0%	25.2%	24.5%	24.9%
R&D	17.4%	19.2%	15.6%	16.2%	18.1%	16.1%	16.0%	16.0%	14.7%	14.4%	18.3%	17.3%	18.5%	17.9%	18.3%	17.8%
EBITDA	41.0%	38.1%	40.2%	39.1%	37.1%	38.5%	38.3%	38.2%	40.2%	41.3%	37.2%	37.8%	36.4%	37.7%	37.1%	37.4%
Operating margin (adj)	**32.2%**	**29.8%**	**32.2%**	**31.6%**	**30.0%**	**32.4%**	**32.8%**	**33.1%**	**31.9%**	**33.5%**	**30.1%**	**30.9%**	**28.4%**	**30.3%**	**30.4%**	**30.7%**
Tax rate, % EBT	14.8%	16.3%	17.3%	17.2%	17.4%	17.0%	16.5%	16.0%	15.4%	18.2%	17.4%	17.8%	16.6%	18.4%	19.5%	15.2%
Net income (adj)	29.8%	27.3%	27.8%	26.7%	25.6%	27.7%	28.1%	28.5%	27.5%	28.0%	25.0%	26.6%	24.5%	25.5%	25.3%	26.8%

Cash Flow	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
FCF	18,248	19,842	19,698	20,808	27,025	30,933	33,066	36,872	1,465	7,295	4,785	7,262	5,376	7,764	6,925	6,960
FCF, % sales	21%	22%	21%	21%	25%	27%	27%	28%	6%	29%	19%	28%	21%	29%	26%	25%
FCF, % of adj net income	72%	82%	75%	77%	99%	98%	96%	97%	22%	103%	75%	104%	87%	114%	102%	95%
FCF/share	$7.13	$8.17	$8.08	$8.53	$11.23	$13.00	$14.06	$15.87	$0.60	$2.99	$1.95	$3.00	$2.22	$3.22	$2.88	$2.90
Cash from Operations	22,791	24,266	24,530	28,053	32,527	36,937	39,576	43,862	2,514	8,616	5,965	9,204	6,368	9,008	8,185	8,967
Cash from Investing	878	(18,599)	(23,588)	(7,354)	(8,702)	(9,204)	(9,710)	(10,190)	(1,040)	(1,110)	(1,979)	(2,741)	(1,792)	(2,043)	(2,060)	(2,807)
Cash from Financing	(15,825)	(3,132)	(5,539)	(23,404)	(21,026)	(21,724)	(22,444)	(23,186)	530	(8,777)	(5,773)	(8,555)	(5,132)	(5,296)	(5,298)	(5,300)
Change in cash	**7,732**	**2,246**	**(4,396)**	**(2,705)**	**2,799**	**6,009**	**7,422**	**10,485**	**1,979**	**(1,266)**	**(1,788)**	**(2,092)**	**(556)**	**1,668**	**827**	**860**
Capex	(4,543)	(4,424)	(4,832)	(5,491)	(5,502)	(6,004)	(6,510)	(6,990)	(1,049)	(1,321)	(1,179)	(1,941)	(992)	(1,243)	(1,260)	(2,007)
Acquisitions, net	0	(15,146)	(17,541)	(1,863)	(3,200)	(3,200)	(3,200)	(3,200)	0	(263)	(800)	(800)	(800)	(800)	(800)	(800)
Buy backs	(5,054)	(2,432)	(5,953)	(10,495)	(7,602)	(7,792)	(7,987)	(8,187)	(4,028)	(221)	(2,503)	(3,743)	(1,883)	(1,895)	(1,906)	(1,918)

Balance Sheet	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Total Assets	167,558	180,104	199,210	195,822	201,888	213,676	227,455	244,158	200,894	201,061	195,689	195,822	195,048	197,954	199,470	201,888
Current Assets	53,495	55,893	55,624	53,424	58,399	67,962	78,812	92,214	59,173	59,774	54,211	53,424	52,891	55,711	56,955	58,399
LT Assets	114,063	124,211	143,586	142,398	143,490	145,714	148,643	151,944	141,721	141,287	141,478	142,398	142,157	142,243	142,515	143,490
Book Value of Equity	68,774	71,490	81,544	78,263	82,762	90,741	100,618	112,759	81,186	84,971	79,759	78,263	78,813	79,993	81,074	82,762
Total Liabilities	98,784	108,614	117,666	117,559	119,127	122,935	126,837	131,398	119,708	116,090	115,930	117,559	116,235	117,961	118,396	119,127
Cash + Marketable Securities	22,927	24,522	20,102	16,878	19,677	25,686	33,108	43,594	22,051	20,758	18,970	16,878	16,322	17,990	18,817	19,677
Total Debt	29,332	36,634	47,933	49,036	49,036	49,036	49,036	49,036	54,987	49,036	49,036	49,036	49,036	49,036	49,036	49,036
Net Debt	6,405	12,112	27,831	32,158	29,359	23,350	15,928	5,442	32,936	28,278	30,066	32,158	32,714	31,046	30,219	29,359
Net Debt:EBITDA	0.2x	0.4x	0.7x	0.8x	0.7x	0.5x	0.3x	0.1x	0.9x	0.7x	0.8x	0.8x	0.9x	0.8x	0.8x	0.7x
Total Debt:EBITDA	0.8x	1.1x	1.3x	1.2x	1.2x	1.1x	1.0x	1.0x	1.4x	1.2x	1.3x	1.2x	1.3x	1.2x	1.2x	1.2x
NOPAT (All in)	23,405	22,140	25,120	26,447	26,312	30,779	33,705	37,053								
ROIC (All in)	21%	21%	21%	20%	19%	22%	24%	26%								

Source: Company reports; Bernstein estimates & analysis

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BERNSTEIN TICKER TABLE

			13 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
JNJ (J&J)	M	USD	248.61	**270.00**	12.9%	USD	10.75	**11.09**	**11.29**	23.1	22.4	22.0
OLD				261.00				11.01	11.46			
SPX			7,805.45									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY

Johnson & Johnson

We set a price target of $270 using a target P/E multiple of 21x against our forward Q5-Q8 EPS estimate of $12.93. The P/E target reflects observed absolute and relative historical multiples and our outlook for forward growth. We also use current EV/EBITDA vs. history and DCFs as secondary inputs to our valuation.

RISKS

Johnson & Johnson

Upside risks include, but are not limited to: stronger than expected earnings growth based on better than expected market conditions (e.g., market-wide improvements in healthcare utilization, volume, or pricing), major disruptions to competitors (e.g., recalls, supply interruptions), or earlier than expected approvals / introductions of key pipeline products.

Downside risks to our target prices include greater than expected margin pressure driven by supply chain constraints and inflation related impact, recalls of major products, FDA warning letters or supply interruptions at major production facilities, accelerated pricing pressure or reimbursement changes in key categories, other policy initiatives or physician guideline changes that may negatively impact product utilization, a rapid deterioration in the global economic environment which could weaken discretionary healthcare spending, or unexpected fluctuations in foreign currency.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

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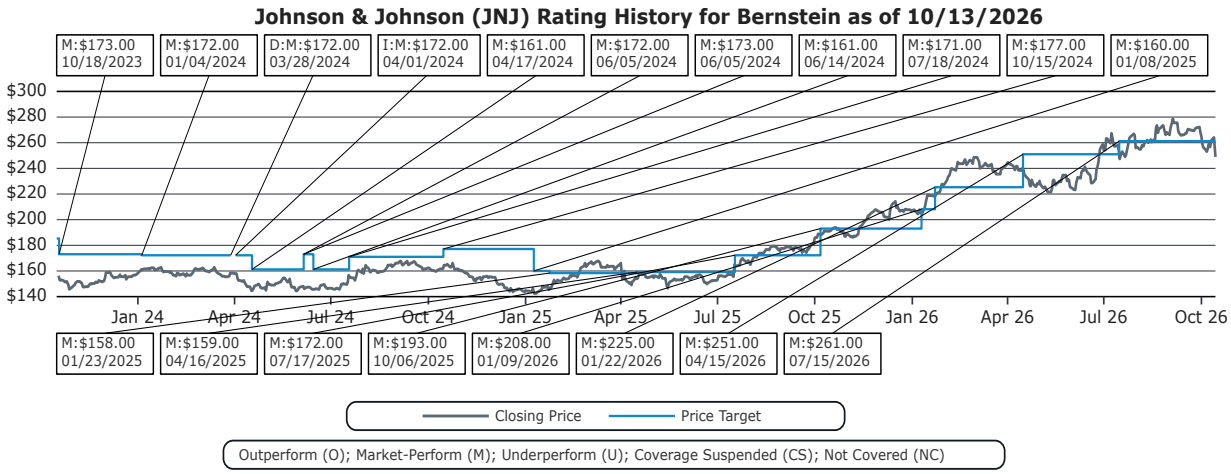
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